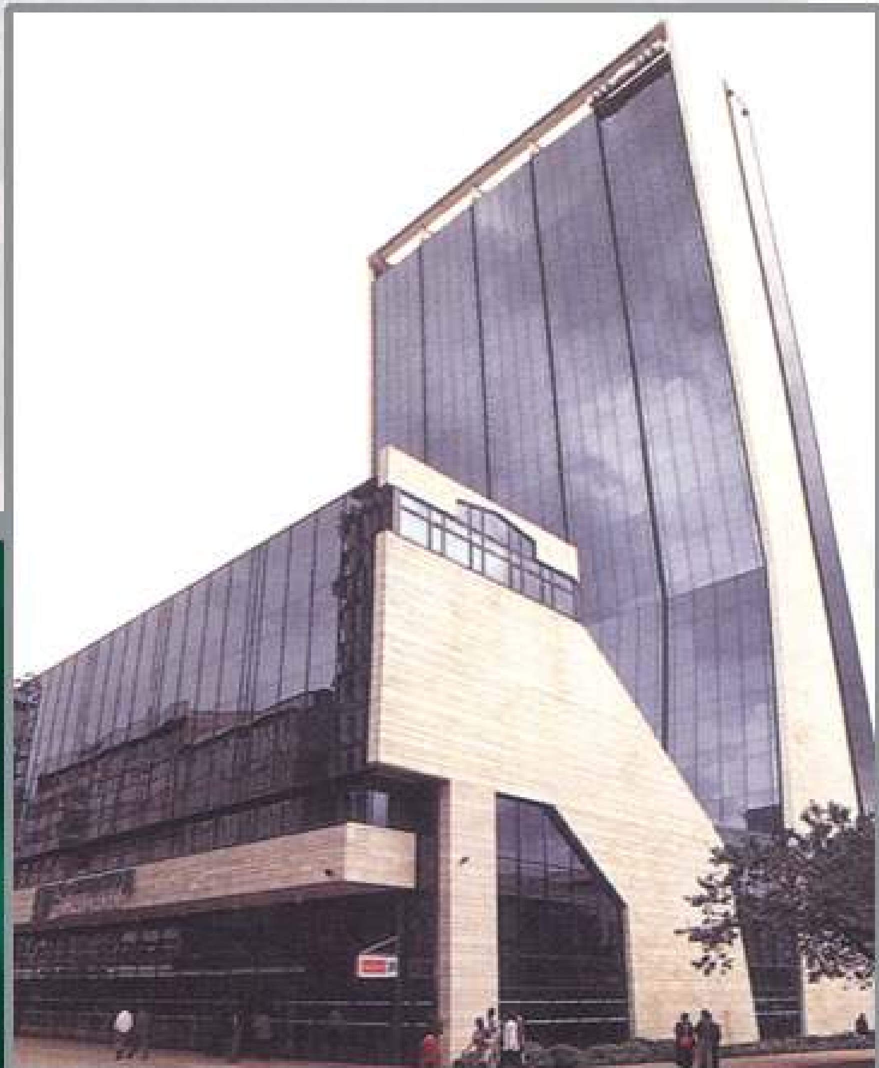
CO-OP BANK GROUP
FIRST HALF 2009 FINANCIAL RESULTS



INVESTOR AND MEDIA PRESENTATION
GIDEON MURIUKI - OGW
GROUP MANAGING DIRECTOR & CEO

19th AUGUST 2009

CO-OP BANK

Half Year Financial Results

- Co-op Bank is pleased to report a remarkable **Profit before Tax** of **Kshs.1.94 billion** for the period ended 30TH June 2009 representing a commendable **16%** growth compared to **Kshs.1.68 billion** recorded during the same period in year 2008.

Half Year Financial Results
Balance Sheet

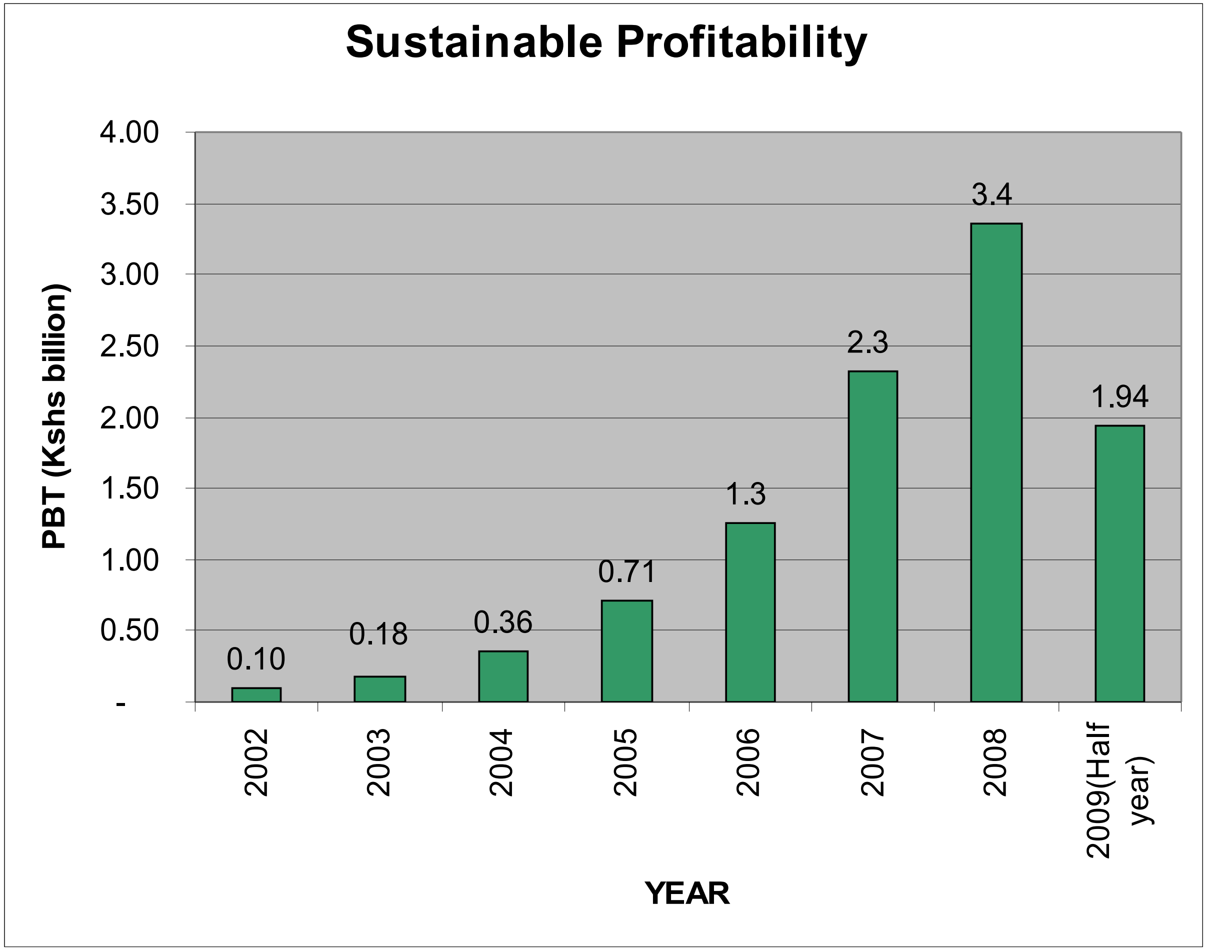
	30-Jun-09 KSHS ((000)	30-Jun-08 KSHS (000)	% Change
Total Assets	**92,702,931**	**72,073,635**	**29%**
Loan Book	**56,677,272**	**43,404,264**	**31%**
Total Deposits	**74,205,539**	**59,066,266**	**26%**
Shareholders Funds	**14,711,343**	**7,541,428**	**95%**
Core Capital	**13,346,661**	**6,557,701**	**51%**

Half Year Financial Results

Income Statement

	30-Jun-09 KSHS (000)	30-Jun-08 KSHS (000)	% Change
Net Interest Income	**3,115,404**	**2,496,950**	**25%**
Non Interest Income	**2,042,721**	**2,220,980**	**-8%**
Total Income	**5,158,125**	**4,717,930**	**9%**
Operating expenses	**3,215,450**	**3,042,636**	**6%**
Profit before Tax	**1,942,675**	**1,675,294**	**16%**

Half Year Financial Results



Share Structure

Category	No. of shareholders	No. of shares	%
Kenyan individual investors	110,788	939,112,300	26.89%
Kenyan institutional investors	5,314	2,552,051,600	73.07%
East African individual investors	27	275,300	0.01%
East African institutional investors	4	6,000	0.00%
Foreign investors	67	924,700	0.03%
Total	116,200	3,492,369,900	100.00%

Share Structure

- The shareholding profile depicts a largely held institutional share a demonstration of commitment by long term investors.
- This commitment is further re-assured by our unique governance structure with a lock in for:
  - The **<u>strategic</u>** investor by the Co-op Movement through Co-opholdings Co-operative Society Ltd of 64.4% (locked in for a minimum of 5 years)
  - Staff and Directors 7.12% (locked in for 2 years)

Key Strategies

- Co-op bank has managed to offer sustained profitability growth by investing in the following strategies;

Key Strategies

(i) ALTERNATIVE BANKING CHANNELS

Investment in superior Information Communication Technology (ICT) to increase its financial deepening particularly in the Co-operative Sector to better ring fence this key sector that supports over 30% of the Kenya's Gross National Savings (GNS)

The key ICT investments are well supported by the recapitalised balance sheet with a capital of over Kshs14 billion. Key initiatives in this area are;

Key Strategies

☞ **The Front Office Service Activity (FOSA) Project**

The Bank is providing corporate finance capacity support through our subsidiary company Co-operative Consultancy Services Limited aimed at increasing the number of Sacco FOSA’s to over 400 to facilitate access to financial services to the over 6 million members of the Co-operative Movement.

Key Strategies

- **Sacco Link**
  - The Bank invested in a ICT switch that enables members of Sacco's using the Sacco link debit card access cash at our ATM's and goods/services at Visa branded outlets globally. Already over 140,000 cards have been issued and the product should hit over 300,000 users this year.
  - This is well supported by an increased investment in ATMs to over 212 currently.

Key Strategies

☞ Point of Sale Banking (POS)

Through the use of ICT, the bank is broadening the concept of branchless banking through the key Point of Sales banking (POS) project, that is expected to cost over Kshs.200 million to support at least 10,000 points of sale.

Key Strategies

- **Review of the bank's core banking software**

  The bank has been on a Bank Master/ Branch Power core banking system from Misys that has given us key competitive edge over the last 10 years and enables us to hold around 7 million customers. To enhance our delivery channels, we have started the process of reviewing our core banking software for the future.

  Most strategies lay an excellent base for Agency Banking as provided for in the Finance Bill.

Key Strategies

ii) COST MANAGEMENT

☞ Our operating expenses have increased by only 6% despite the annual salary reviews and huge growth of our balance sheet and branches, due to the following smart initiatives;

- ✍ Staff optimization by leveraging on the new outlets this year notably Busia, Enterprise Road, Mariakani Mombasa, Malindi, Siaya, Voi, Zimmerman, Kitengela, Kitui and Aga khan Walk Nairobi; with this key initiative, the bank is able to grow the number of retail outlets with a focus on higher transaction based revenue base at a stable head count.

Key Strategies

- We have optimized over 200 staff currently supporting on sales as supernumerary staff to fill the expected 20 outlets by the end of this year that will increase our network to 83 branches.
- Automation of our business processes through continuous business reviews being carried out by our Business Change Management Department for added operational efficiency.
- Continued application of leasing option for all new bank outlets that is cheaper and also tax efficient, as also property development for own use is not a core business for us.

Key Strategies

iii) RISK MANAGEMENT

☞ From our background wherein the bank had to make major balance sheet clean up / huge loan loss provisions in the successful business restructuring over the years, the bank has invested in strong risk management framework to minimise future loan loss provisions. Our portfolio/ loan book is currently well spread out and mitigated as here under;

Sacco Banking (mainly check-off based)	**21%**
Agribusiness	***2%**
Corporate Banking	**24%**
Personal Banking (mainly check-off based)	**44%**
SME and Micro	**9%**
Total	**100%**

Key Strategies

*Agribusiness mainly the coffee sector that was substantially reduced with the Kshs.5.2 billion debts write off in year 2007, and is now supported by the Stabex revolving fund grant.

We continue to be a niche market provider of banking services.

Key Strategies

iv) NEW BUSINESS LINES

a) Stock Broking Business

☞ Kingdom Securities Limited is now fully operational and have moved their operations to 5th Floor Co-op Bank building. Our key strategy is to appoint all Co-op Bank branches and 250 active Sacco Fosa outlets as agents, and take the stock brokerages services closer to the common man, particularly the over 6 million member Co-operative Movement that is the **majority** and **strategic** investor in the Bank.

☞ I take this opportunity to formally introduce the Chief Executive Officer, Jeff Odundo whom I believe is well known to most of us having previously been our Head of Merchant and Investment Banking Division.

Key Strategies

b) Regional expansion

- The bank is waiting licensing on our application to enter Southern Sudan with 5 branches and is negotiating a strategic partnership with the Co-operative movement in Uganda.

c) Custodial Business

- Co-op Bank has successfully won the highly competitive Custodial Services Tender by Capital Markets Authority (CMA) to take over the over 150,000 CDS account holders previously with Discount Securities Limited. This is a key breakthrough in our strategies to grow our non-funded income streams.

Key Strategies

d) Kenya Co-operative Coffee Exporters Limited (KCCE)

- The bank has been part of the initiative to set up a coffee marketing society by the small-holder coffee growers. Five regional coffee marketing societies namely Meru Central, Mugama, Othaya Farmers, Aguthi and Mutheka farmers joined hands to form KCCE to tap into the over Kshs.12 billion coffee industry.

- Co-op bank is the financier of the arrangement expected to give incredible value to the coffee farmers in Kenya; the Chief Executive Officer of KCCE Mrs. Lucy Murumba has been seconded by Co-op Bank Group.

The bank will instantly benefit from the key foreign exchange and other commissions income.

Key Strategies

e) Mortgage Business

- Again, leveraging on our captive market segments and our expansive branch network that this product will ride on the bank now has a Mortgage product with a loan portfolio of over Kshs.100 million to date.

- We are pleased to also today formally launch our mortgage product, "Good Home".

  The key product features are;-

  - ✓ *Simple and informs the customers of all the requirements before hand.*
  - ✓ *Avails partnership mortgage with the Co-operatives societies*
  - ✓ *Variable and fixed rate mortgages*

Appreciation

- We sincerely thank all our stakeholders for the continued incredible support that has seen the success of the **Kingdom Bank.** We have heavily invested in the Kenyan People and are confident of brighter days ahead despite the challenging environment.

Thank you and may God richly bless you all.